

Business Case: Onboarding Flow Redesign

Executive Summary

This initiative proposes redesigning the core user onboarding experience to capture drop-off users at the initial sign-up stage, expanding the addressable customer base, improving conversion efficiency, and driving long-term enterprise value.

Strategic Bet

By redesigning the onboarding flow, we will capture 50% of the existing 40% user drop-off during initial sign-up.

- **Target Audience:** New sign-up candidates encountering friction in the current flow.
- **Value Mechanism:** Minimizing friction at sign-up expands the top-of-funnel user base, increasing the total volume of users eligible for subscription conversion while lowering overall Customer Acquisition Cost (CAC) and reducing subscriber churn.

Core Assumptions & Risk Analysis

1. **50% Conversion of Dropped Users (Critical Risk):** The redesigned onboarding flow will successfully retain 1 out of every 2 users who currently abandon sign-up.
 - *Impact if Invalidated:* Significantly reduces projected sign-up volume and extends payback timeline.

- *Mitigation / Pivot:* Reallocate engineering and product resources to downstream retention initiatives, lifetime value (LTV) expansion, or alternative feature optimizations.
- 2. **Conversion Rate Stability:** Baseline subscriber conversion rate will hold steady at 5% for retained top-of-funnel users.
 - *Impact if Invalidated:* Lower monetization yield per retained user.
 - *Mitigation / Pivot:* Implement targeted downstream nurturing sequences and product tours.
- 3. **Customer Lifetime Value:** Customer LTV remains sustained at \$300.
 - *Impact if Invalidated:* Extended payback period on engineering resources.
 - *Mitigation / Pivot:* Optimize upsell triggers and feature tiers.

Financial Model & Expected Return

- **Unit Economics:** Assumes 5% subscriber conversion on captured users with a \$300 Lifetime Value (LTV) per paying customer.
- **Acquisition Efficiency:** Driving higher conversion at the initial sign-up phase dilutes fixed acquisition marketing spend, driving down CAC across all cohorts.
- **Payback Horizon:** Initial engineering and design investment is projected to be fully recouped within 4 months post-launch.

Actionable Kill Criterion

To maintain strict capital discipline, performance will be evaluated on a clear threshold:

- **Threshold Metric:** If the sign-up abandonment rate does not decrease by at least 35% within 60 days of launch, all further capital allocation and development for initial onboarding redesigns will be immediately terminated.

- **Resource Reallocation:** Remaining engineering capacity and budget will be systematically diverted to alternative churn reduction and core feature initiatives.